



## Bender Trust Project

Analysts:

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# Company Overview

# Company Description

- Seagate is a global leader in data storage solutions, specializing in hard drives for enterprise, cloud, and consumer applications
- Founded 1979 (45+ Years of Industry Leadership)
- **\$9.6 Billion** in Revenue (2025)
- **30,000** Employees Worldwide
- Business Model:
  - OEMs – Largest Contributor (80% of Revenue)
  - Distributors – (12% of Revenue)
  - Retailers – (8% of Revenue)

Year to Date Price Performance



Market Cap: 56.46B

Current Share Price: \$269.20

52 Week Range: \$63.19 - \$297.88

# SWOT Analysis

- **Strengths**
  - Global HDD leader with 40% market share in consolidated oligopoly with high barriers to entry
  - HAMR Technological Leadership
  - Strong Financial Recovery Momentum
  - Cost Position for Growing Markets
  - Vertical Integration
- **Weaknesses**
  - Overleveraged Balance Sheet
  - Extreme Customer Concentration
  - Cyclical Volatility

# SWOT Analysis

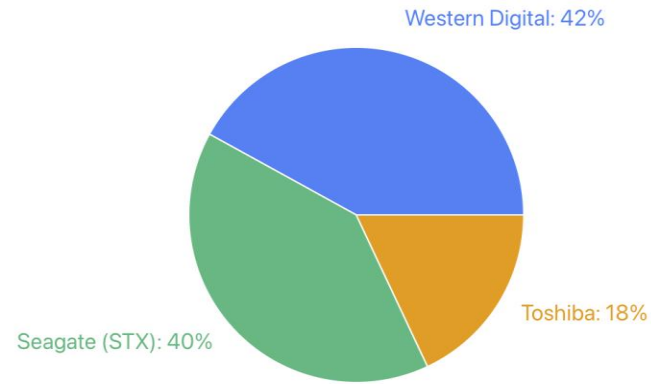
- **Opportunities**
  - AI Infrastructure Supercycle
  - HAMR Commercialization and Premium Pricing
  - Debt Paydowns and Capital Returns
  - Market Share Gains in Rational Oligopoly
- **Threats**
  - SSD Price Deflation and Technology Disruptions
  - AI Capex Cliff and Inventory Correction
  - Competitive Price War
  - Geopolitical and Geographic Issues



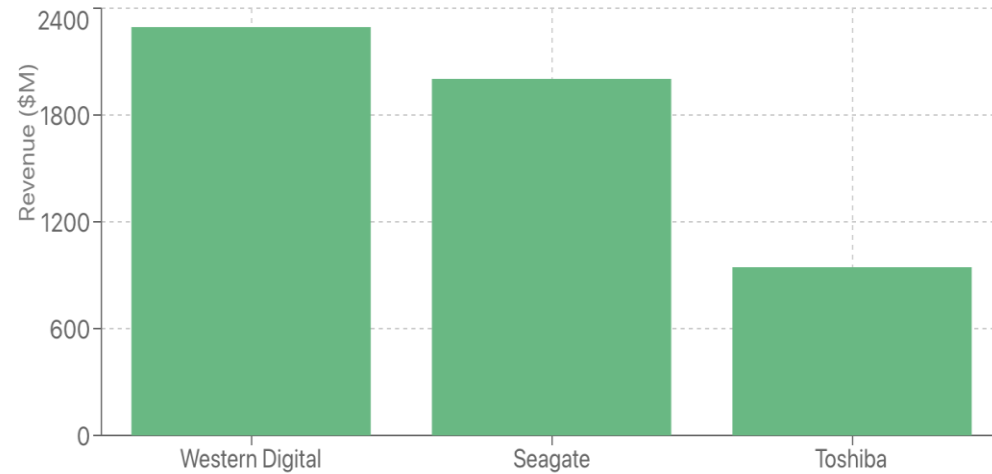
# Industry Analysis

# Competition

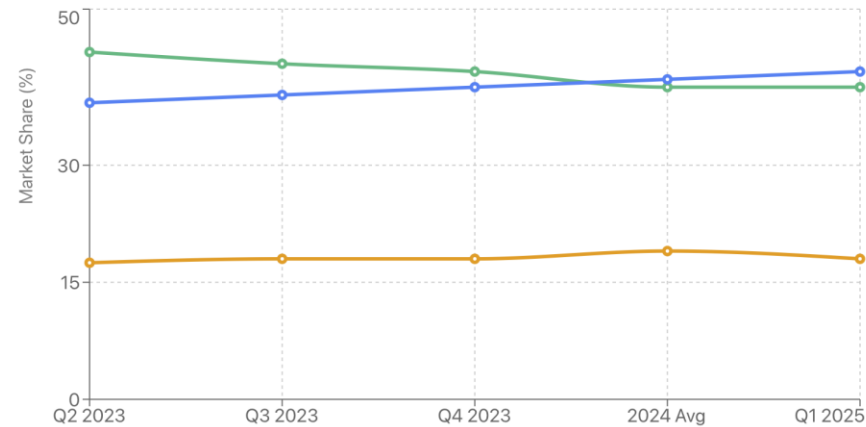
Q1 2025 Unit Market Share



Q1 2025 Revenue by Company



Market Share Evolution (Q2 2023 - Q1 2025)



A solid green vertical bar is positioned on the left side of the slide.

# Porters Five Forces

1

## Threat of New Entrants

- Operates in an Oligopoly
- High Upfront Investment Costs to Enter

2

## Bargaining Power of Suppliers

- Almost Entirely In-House due to Vertical Integration
- Certain, but Few, Components are Supplied by Specialized Manufacturers

3

## Threat of Substitutes

- High Competition in the HDD market in OEMS Against the Oligopoly
- SSDs, Cloud Storage, Flash Increasingly Preferred for Consumer/Enterprise

4

## Degree of Competitive Rivalry

- Extremely Mature Market
- Cost Pressurization in Technology
- 3 Large Players

5

## Bargaining Power of Buyers

- Large Buyers (Cloud, Hyperscalers) Represent 80% of Demand
- Hard Price Negotiations (Lowest \$/TB)
- Relatively Commoditized Market



# Financial Analysis

# Income Statement

| Income Statement:<br>\$ in Millions             | Historical      |                 |                 |                |                 | Projected      |                |                |                |                |
|-------------------------------------------------|-----------------|-----------------|-----------------|----------------|-----------------|----------------|----------------|----------------|----------------|----------------|
|                                                 | 2021A           | 2022A           | 2023A           | 2024A          | 2025A           | 2026E          | 2027E          | 2028E          | 2029E          | 2030E          |
| Revenue (\$)                                    | 10681.00        | 11661.00        | 7384.00         | 6551.00        | 9097.00         | 11147.72       | 13412.19       | 15465.53       | 17548.84       | 19494.43       |
| Cost of Revenue (\$)                            | 7764.00         | 8192.00         | 6033.00         | 5015.00        | 5897.00         | 7880.14        | 9087.56        | 10705.58       | 12019.04       | 13423.01       |
| <b>Gross Profit (\$)</b>                        | <b>2917.00</b>  | <b>3469.00</b>  | <b>1351.00</b>  | <b>1536.00</b> | <b>3200.00</b>  | 3267.58        | 4324.63        | 4759.95        | 5529.80        | 6071.42        |
| margin                                          | 27%             | 30%             | 18%             | 23%            | 35%             | 29%            | 32%            | 31%            | 32%            | 31%            |
| R&D                                             | 903.00          | 941.00          | 797.00          | 654.00         | 724.00          | 1000.06        | 1135.32        | 1348.26        | 1507.68        | 1687.17        |
| SG&A                                            | 502.00          | 559.00          | 491.00          | 460.00         | 561.00          | 735.12         | 855.78         | 1003.32        | 1129.10        | 1259.49        |
| Amortization of Intangibles                     | 12.00           | 11.00           | 3.00            | 0.00           | 0.00            | 0.00           | 0.00           | 0.00           | 0.00           | 0.00           |
| Penalties                                       | 0.00            | 0.00            | 300.00          | 0.00           | 0.00            | 0.00           | 0.00           | 0.00           | 0.00           | 0.00           |
| Restructuring and Other, Net                    | 8.00            | 3.00            | 102.00          | (30.00)        | 25.00           | 25.00          | 25.00          | 25.00          | 25.00          | 25.00          |
| <b>EBIT (\$)</b>                                | <b>1492.00</b>  | <b>1955.00</b>  | <b>(342.00)</b> | <b>452.00</b>  | <b>1890.00</b>  | 1507.40        | 2308.54        | 2383.36        | 2868.02        | 3099.76        |
| margin                                          | 14%             | 17%             | (5%)            | 7%             | 21%             | 14%            | 17%            | 15%            | 16%            | 16%            |
| <b>EBT (\$)</b>                                 | <b>1348.00</b>  | <b>1679.00</b>  | <b>(496.00)</b> | <b>445.00</b>  | <b>1513.00</b>  | 2039.48        | 2879.09        | 3059.52        | 3606.96        | 3921.30        |
| Interest Income                                 | 2.00            | 2.00            | 10.00           | 15.00          | 25.00           | 28.08          | 35.32          | 39.84          | 45.71          | 50.50          |
| Interest Expense                                | (220.00)        | (249.00)        | (313.00)        | (332.00)       | (321.00)        | (479.16)       | (524.88)       | (634.99)       | (703.65)       | (791.04)       |
| Net Gain from Business Divestiture              | 0.00            | 0.00            | 0.00            | 313.00         | 8.00            | 8.00           | 8.00           | 8.00           | 8.00           | 8.00           |
| Net Gain from Termination of Interest Rate Swap | 0.00            | 0.00            | 0.00            | 104.00         | 0.00            | 0.00           | 0.00           | 0.00           | 0.00           | 0.00           |
| Net Loss (Gain) from Debt Transactions          | 0.00            | 0.00            | 190.00          | (29.00)        | (7.00)          | (7.00)         | (7.00)         | (7.00)         | (7.00)         | (7.00)         |
| Other, Net                                      | 74.00           | (29.00)         | (41.00)         | (78.00)        | (82.00)         | (82.00)        | (82.00)        | (82.00)        | (82.00)        | (82.00)        |
| <b>Other Expense, Net</b>                       | <b>(144.00)</b> | <b>(276.00)</b> | <b>(154.00)</b> | <b>(7.00)</b>  | <b>(377.00)</b> | (191.60)       | (191.60)       | (191.60)       | (191.60)       | (191.60)       |
| <b>Net Income (Loss)</b>                        | <b>1314.00</b>  | <b>1649.00</b>  | <b>(529.00)</b> | <b>335.00</b>  | <b>1469.00</b>  | <b>1957.90</b> | <b>2763.93</b> | <b>2937.14</b> | <b>3462.68</b> | <b>3764.45</b> |
| Provision for Income Taxes                      | 34.00           | 30.00           | 33.00           | 110.00         | 44.00           | 81.58          | 115.16         | 122.38         | 144.28         | 156.85         |
| <b>Net Income Attributable to STX</b>           | <b>1314.00</b>  | <b>1649.00</b>  | <b>(529.00)</b> | <b>335.00</b>  | <b>1469.00</b>  | <b>1957.90</b> | <b>2763.93</b> | <b>2937.14</b> | <b>3462.68</b> | <b>3764.45</b> |
| margin                                          | 12%             | 14%             | (7%)            | 5%             | 16%             | 18%            | 21%            | 19%            | 20%            | 19%            |
| Depreciation and Amortization                   | 397             | 451             | 513             | 264            | 251             | 378            | 413            | 500            | 554            | 623            |
| <b>EBITDA</b>                                   | <b>1889.00</b>  | <b>2406.00</b>  | <b>171.00</b>   | <b>716.00</b>  | <b>2141.00</b>  | <b>1885.82</b> | <b>2721.21</b> | <b>2883.78</b> | <b>3421.91</b> | <b>3722.80</b> |
| margin                                          | 18%             | 21%             | 2%              | 11%            | 24%             | 17%            | 20%            | 19%            | 19%            | 19%            |
| <b>Earnings per Share</b>                       |                 |                 |                 |                |                 |                |                |                |                |                |
| Basic                                           | 5.43            | 7.50            | (2.56)          | 1.60           | 6.93            | 9.24           | 13.04          | 13.85          | 16.33          | 17.76          |
| Diluted                                         | 5.36            | 7.36            | (2.56)          | 1.58           | 6.77            | 9.02           | 12.74          | 13.54          | 15.96          | 17.35          |
| <b>Shares Outstanding (in Millions)</b>         |                 |                 |                 |                |                 |                |                |                |                |                |
| Basic                                           | 242             | 220             | 207             | 209            | 212             | 212            | 212            | 212            | 212            | 212            |
| Diluted                                         | 245             | 224             | 207             | 212            | 217             | 217            | 217            | 217            | 217            | 217            |
| <b>Forecast</b>                                 |                 |                 |                 |                |                 |                |                |                |                |                |
| Cost of Revenue                                 | 72.69%          | 70.25%          | 81.70%          | 76.55%         | 64.82%          | 70.69%         | 67.76%         | 69.22%         | 68.49%         | 68.86%         |
| Depreciation and Amortization                   | 3.72%           | 3.87%           | 6.95%           | 4.03%          | 2.76%           | 3.39%          | 3.08%          | 3.24%          | 3.16%          | 3.20%          |
| SG&A                                            | 4.70%           | 4.79%           | 6.65%           | 7.02%          | 6.17%           | 6.59%          | 6.38%          | 6.49%          | 6.43%          | 6.46%          |
| R&D                                             | 8.45%           | 8.07%           | 10.79%          | 9.98%          | 7.96%           | 8.97%          | 8.46%          | 8.72%          | 8.59%          | 8.65%          |
| Interest Expense                                | (2.06%)         | (2.14%)         | (4.24%)         | (5.07%)        | (3.53%)         | (4.30%)        | (3.91%)        | (4.11%)        | (4.01%)        | (4.06%)        |
| Interest Income                                 | 0.02%           | 0.02%           | 0.14%           | 0.23%          | 0.27%           | 0.25%          | 0.26%          | 0.26%          | 0.26%          | 0.26%          |
| Taxes                                           |                 |                 |                 |                |                 | 4%             | 4%             | 4%             | 4%             | 4%             |

Effective Tax Rate

# Revenue Build (Base)

| \$ in Millions |      | Historical |          |          |          |         | Projected |          |          |          |          |
|----------------|------|------------|----------|----------|----------|---------|-----------|----------|----------|----------|----------|
|                |      | 2021A      | 2022A    | 2023A    | 2024A    | 2025A   | 2026E     | 2027E    | 2028E    | 2029E    | 2030E    |
| Revenue (\$)   |      | 10681      | 11661    | 7384     | 6551     | 9097    | 11147.72  | 13412.19 | 15465.53 | 17548.84 | 19494.43 |
| YoY Growth     |      |            | 9.18%    | (36.68%) | (11.28%) | 38.86%  | 22.54%    | 20.31%   | 15.31%   | 13.47%   | 11.09%   |
| Bear Case      |      |            |          |          |          |         |           |          |          |          |          |
| OEMS           |      | 7403.00    | 8742.00  | 5448.00  | 4896.00  | 7282.00 |           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 9685.06   | 12203.18 | 14887.87 | 17567.69 | 20378.52 |
| Base Case      |      |            |          |          |          |         | 9175.32   | 11285.64 | 13204.20 | 15184.83 | 17007.01 |
| Bear Case      |      |            |          |          |          |         | 8884.04   | 10483.17 | 11950.81 | 13145.89 | 14066.10 |
| Distributors   |      | 1854.00    | 1676.00  | 1119.00  | 972.00   | 1060.00 |           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 1219.00   | 1377.47  | 1528.99  | 1681.89  | 1833.26  |
| Base Case      |      |            |          |          |          |         | 1187.20   | 1317.79  | 1436.39  | 1522.58  | 1629.16  |
| Bear Case      |      |            |          |          |          |         | 1166.00   | 1259.28  | 1322.24  | 1375.13  | 1416.39  |
| Retailers      |      | 1424.00    | 1243.00  | 817.00   | 683.00   | 755.00  |           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 807.85    | 856.32   | 899.14   | 935.10   | 963.16   |
| Base Case      |      |            |          |          |          |         | 785.20    | 808.76   | 824.93   | 841.43   | 858.26   |
| Bear Case      |      |            |          |          |          |         | 777.65    | 793.20   | 801.14   | 805.14   | 813.19   |
| Totals (\$)    |      | 10681.00   | 11661.00 | 7384.00  | 6551.00  | 9097.00 |           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 11711.91  | 14436.97 | 17316.00 | 20184.68 | 23174.94 |
| Base Case      |      |            |          |          |          |         | 11147.72  | 13412.19 | 15465.53 | 17548.84 | 19494.43 |
| Bear Case      |      |            |          |          |          |         | 10827.69  | 12535.65 | 14074.19 | 15326.17 | 16295.68 |
| Forecast       |      |            |          |          |          |         |           |          |          |          |          |
| OEMS           | Bull |            |          |          |          |         | 33%       | 26%      | 22%      | 18%      | 16%      |
|                | Base | 0.00%      | 18.09%   | (37.68%) | (10.13%) | 48.73%  | 26%       | 23%      | 17%      | 15%      | 12%      |
|                | Bear |            |          |          |          |         | 22%       | 18%      | 14%      | 10%      | 7%       |
| Distributors   | Bull |            |          |          |          |         | 15%       | 13%      | 11%      | 10%      | 9%       |
|                | Base | 0.00%      | (9.60%)  | (33.23%) | (13.14%) | 9.05%   | 12%       | 11%      | 9%       | 6%       | 7%       |
|                | Bear |            |          |          |          |         | 10%       | 8%       | 5%       | 4%       | 3%       |
| Retailers      | Bull |            |          |          |          |         | 7%        | 6%       | 5%       | 4%       | 3%       |
|                | Base | 0.00%      | (12.71%) | (34.27%) | (16.40%) | 10.54%  | 4%        | 3%       | 2%       | 2%       | 2%       |
|                | Bear |            |          |          |          |         | 3%        | 2%       | 1%       | 1%       | 1%       |

# Revenue Build (Bull)

| \$ in Millions |           | Historical |          |          |          |         | Projected |          |          |          |          |
|----------------|-----------|------------|----------|----------|----------|---------|-----------|----------|----------|----------|----------|
|                |           | 2021A      | 2022A    | 2023A    | 2024A    | 2025A   | 2026E     | 2027E    | 2028E    | 2029E    | 2030E    |
| Revenue (\$)   |           | 10681      | 11661    | 7384     | 6551     | 9097    | 11711.91  | 14436.97 | 17316.00 | 20184.68 | 23174.94 |
| YoY Growth     |           |            | 9.18%    | (36.68%) | (11.28%) | 38.86%  | 28.74%    | 23.27%   | 19.94%   | 16.57%   | 14.81%   |
| Bear Case      |           |            |          |          |          |         |           |          |          |          |          |
| OEMS           |           | 7403.00    | 8742.00  | 5448.00  | 4896.00  | 7282.00 |           |          |          |          |          |
|                | Bull Case |            |          |          |          |         | 9685.06   | 12203.18 | 14887.87 | 17567.69 | 20378.52 |
|                | Base Case |            |          |          |          |         | 9175.32   | 11285.64 | 13204.20 | 15184.83 | 17007.01 |
|                | Bear Case |            |          |          |          |         | 8884.04   | 10483.17 | 11950.81 | 13145.89 | 14066.10 |
| Distributors   |           | 1854.00    | 1676.00  | 1119.00  | 972.00   | 1060.00 |           |          |          |          |          |
|                | Bull Case |            |          |          |          |         | 1219.00   | 1377.47  | 1528.99  | 1681.89  | 1833.26  |
|                | Base Case |            |          |          |          |         | 1187.20   | 1317.79  | 1436.39  | 1522.58  | 1629.16  |
|                | Bear Case |            |          |          |          |         | 1166.00   | 1259.28  | 1322.24  | 1375.13  | 1416.39  |
| Retailers      |           | 1424.00    | 1243.00  | 817.00   | 683.00   | 755.00  |           |          |          |          |          |
|                | Bull Case |            |          |          |          |         | 807.85    | 856.32   | 899.14   | 935.10   | 963.16   |
|                | Base Case |            |          |          |          |         | 785.20    | 808.76   | 824.93   | 841.43   | 858.26   |
|                | Bear Case |            |          |          |          |         | 777.65    | 793.20   | 801.14   | 805.14   | 813.19   |
| Totals (\$)    |           | 10681.00   | 11661.00 | 7384.00  | 6551.00  | 9097.00 |           |          |          |          |          |
|                | Bull Case |            |          |          |          |         | 11711.91  | 14436.97 | 17316.00 | 20184.68 | 23174.94 |
|                | Base Case |            |          |          |          |         | 11147.72  | 13412.19 | 15465.53 | 17548.84 | 19494.43 |
|                | Bear Case |            |          |          |          |         | 10827.69  | 12535.65 | 14074.19 | 15326.17 | 16295.68 |
| Forecast       |           |            |          |          |          |         |           |          |          |          |          |
| OEMS           | Bull      |            |          |          |          |         | 33%       | 26%      | 22%      | 18%      | 16%      |
|                | Base      | 0.00%      | 18.09%   | (37.68%) | (10.13%) | 48.73%  | 26%       | 23%      | 17%      | 15%      | 12%      |
|                | Bear      |            |          |          |          |         | 22%       | 18%      | 14%      | 10%      | 7%       |
| Distributors   | Bull      |            |          |          |          |         | 15%       | 13%      | 11%      | 10%      | 9%       |
|                | Base      | 0.00%      | (9.60%)  | (33.23%) | (13.14%) | 9.05%   | 12%       | 11%      | 9%       | 6%       | 7%       |
|                | Bear      |            |          |          |          |         | 10%       | 8%       | 5%       | 4%       | 3%       |
| Retailers      | Bull      |            |          |          |          |         | 7%        | 6%       | 5%       | 4%       | 3%       |
|                | Base      | 0.00%      | (12.71%) | (34.27%) | (16.40%) | 10.54%  | 4%        | 3%       | 2%       | 2%       | 2%       |
|                | Bear      |            |          |          |          |         | 3%        | 2%       | 1%       | 1%       | 1%       |

# Revenue Build (Bear)

| \$ in Millions |      | Historical |          |          |          |         | Projected                                                                                 |          |          |          |          |
|----------------|------|------------|----------|----------|----------|---------|-------------------------------------------------------------------------------------------|----------|----------|----------|----------|
|                |      | 2021A      | 2022A    | 2023A    | 2024A    | 2025A   | 2026E                                                                                     | 2027E    | 2028E    | 2029E    | 2030E    |
| Revenue (\$)   |      | 10681      | 11661    | 7384     | 6551     | 9097    | 10827.69                                                                                  | 12535.65 | 14074.19 | 15326.17 | 16295.68 |
| YoY Growth     |      |            | 9.18%    | (36.68%) | (11.28%) | 38.86%  | 19.02%                                                                                    | 15.77%   | 12.27%   | 8.90%    | 6.33%    |
| Bear Case      |      |            |          |          |          |         |                                                                                           |          |          |          |          |
| OEMS           |      | 7403.00    | 8742.00  | 5448.00  | 4896.00  | 7282.00 |                                                                                           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 9685.06                                                                                   | 12203.18 | 14887.87 | 17567.69 | 20378.52 |
| Base Case      |      |            |          |          |          |         | 9175.32                                                                                   | 11285.64 | 13204.20 | 15184.83 | 17007.01 |
| Bear Case      |      |            |          |          |          |         | 8884.04                                                                                   | 10483.17 | 11950.81 | 13145.89 | 14066.10 |
| Distributors   |      | 1854.00    | 1676.00  | 1119.00  | 972.00   | 1060.00 |                                                                                           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 1219.00                                                                                   | 1377.47  | 1528.99  | 1681.89  | 1833.26  |
| Base Case      |      |            |          |          |          |         | 1187.20                                                                                   | 1317.79  | 1436.39  | 1522.58  | 1629.16  |
| Bear Case      |      |            |          |          |          |         | 1166.00                                                                                   | 1259.28  | 1322.24  | 1375.13  | 1416.39  |
| Retailers      |      | 1424.00    | 1243.00  | 817.00   | 683.00   | 755.00  |                                                                                           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 807.85                                                                                    | 856.32   | 899.14   | 935.10   | 963.16   |
| Base Case      |      |            |          |          |          |         | 785.20                                                                                    | 808.76   | 824.93   | 841.43   | 858.26   |
| Bear Case      |      |            |          |          |          |         | 777.65                                                                                    | 793.20   | 801.14   | 805.14   | 813.19   |
| Totals (\$)    |      | 10681.00   | 11661.00 | 7384.00  | 6551.00  | 9097.00 |                                                                                           |          |          |          |          |
| Bull Case      |      |            |          |          |          |         | 11711.91                                                                                  | 14436.97 | 17316.00 | 20184.68 | 23174.94 |
| Base Case      |      |            |          |          |          |         | 11147.72                                                                                  | 13412.19 | 15465.53 | 17548.84 | 19494.43 |
| Bear Case      |      |            |          |          |          |         | 10827.69                                                                                  | 12535.65 | 14074.19 | 15326.17 | 16295.68 |
| Forecast       |      |            |          |          |          |         |                                                                                           |          |          |          |          |
| OEMS           | Bull |            |          |          |          |         | 33%                                                                                       | 26%      | 22%      | 18%      | 16%      |
|                | Base | 0.00%      | 18.09%   | (37.68%) | (10.13%) | 48.73%  | 26%   | 23%      | 17%      | 15%      | 12%      |
|                | Bear |            |          |          |          |         | 22%                                                                                       | 18%      | 14%      | 10%      | 7%       |
| Distributors   | Bull |            |          |          |          |         | 15%                                                                                       | 13%      | 11%      | 10%      | 9%       |
|                | Base | 0.00%      | (9.60%)  | (33.23%) | (13.14%) | 9.05%   | 12%  | 11%      | 9%       | 6%       | 7%       |
|                | Bear |            |          |          |          |         | 10%                                                                                       | 8%       | 5%       | 4%       | 3%       |
| Retailers      | Bull |            |          |          |          |         | 7%                                                                                        | 6%       | 5%       | 4%       | 3%       |
|                | Base | 0.00%      | (12.71%) | (34.27%) | (16.40%) | 10.54%  | 4%   | 3%       | 2%       | 2%       | 2%       |
|                | Bear |            |          |          |          |         | 3%                                                                                        | 2%       | 1%       | 1%       | 1%       |



# Valuation

# Comparable Company Analysis

## Comparable Company Analysis (CCA)

(\$ in MM)

Present Date: 11/01/2025

| Name                | Ticker | Market Capitalization | Enterprise Value (EV) | LTM Financial Metrics |          |          |            | LTM Multiples |               |               |               |
|---------------------|--------|-----------------------|-----------------------|-----------------------|----------|----------|------------|---------------|---------------|---------------|---------------|
|                     |        |                       |                       | Revenue               | EBITDA   | EBIT     | Net Income | EV / Revenue  | EV / EBITDA   | EV / EBIT     | P/E           |
| Western Digital Cor | WDC    | \$45,540.00           | \$48,360.00           | \$9,520               | \$1,938  | \$1,487  | \$1,861    | 5.08x         | 24.95x        | 32.52x        | 24.47x        |
| Pure Storage        | PSTG   | \$29,000.00           | \$27,690.00           | \$3,350               | \$315    | \$189    | \$139      | 8.26x         | 87.79x        | 146.60x       | 208.34x       |
| NetApp              | NTAP   | \$23,970.00           | \$23,390.00           | \$6,590               | \$1,696  | \$1,465  | \$1,171    | 3.55x         | 13.79x        | 15.97x        | 20.47x        |
| Micron Technologie  | MU     | \$205,640.00          | \$210,610.00          | \$37,378              | \$18,483 | \$10,131 | \$8,539    | 5.63x         | 11.39x        | 20.79x        | 24.08x        |
| Seagate Holdings    | STX    | \$54,250.00           | \$58,360.00           | \$9,097               | \$2,085  | \$1,834  | \$1,469    | 6.42x         | 27.99x        | 31.82x        | 36.93x        |
| Minimum             |        |                       |                       |                       |          |          |            | 3.55x         | 11.39x        | 15.97x        | 20.47x        |
| 25th Percentile     |        |                       |                       |                       |          |          |            | 4.70x         | 13.19x        | 19.58x        | 23.18x        |
| <b>Median</b>       |        |                       |                       |                       |          |          |            | <b>5.36x</b>  | <b>19.37x</b> | <b>26.66x</b> | <b>24.28x</b> |
| Mean                |        |                       |                       |                       |          |          |            | 5.63x         | 34.48x        | 53.97x        | 69.34x        |
| 75th Percentile     |        |                       |                       |                       |          |          |            | 6.42x         | 27.99x        | 32.52x        | 36.93x        |
| Maximum             |        |                       |                       |                       |          |          |            | 8.26x         | 87.79x        | 146.60x       | 208.34x       |

Target Company – Implied Valuation

|        | EV / Revenue | EV / EBITDA | EV / EBIT | P/E       |
|--------|--------------|-------------|-----------|-----------|
| Median | \$48,735     | \$40,391    | \$48,886  | \$35,662  |
| Mean   | \$51,235     | \$71,896    | \$98,977  | \$101,861 |

| EV/EBITDA Valuation Summary   |                 |
|-------------------------------|-----------------|
| EBITDA                        | 3722.80         |
| Multiple                      | 19.37x          |
| <b>Total Enterprise Value</b> | <b>72119.65</b> |
| (-) Debt                      | 4995            |
| (+) Cash                      | 891             |
| <b>Total Equity Value</b>     | <b>68015.65</b> |
| Shares Outstanding            | 212             |
| <b>Implied Share Price</b>    | <b>320.83</b>   |
| Current Price (As of 11/6/25) | 280.21          |
| Upside (Downside)             | 14.50%          |

| EV/Revenue Valuation Summary  |                  |
|-------------------------------|------------------|
| Revenue                       | 19494.43         |
| Multiple                      | 5.36x            |
| <b>Total Enterprise Value</b> | <b>104435.85</b> |
| (-) Debt                      | 4995             |
| (+) Cash                      | 891              |
| <b>Total Equity Value</b>     | <b>100331.85</b> |
| Shares Outstanding            | 212              |
| <b>Implied Share Price</b>    | <b>473.26</b>    |
| Current Price (As of 11/6/25) | 280.21           |
| Upside (Downside)             | 68.90%           |

| P/E Valuation Summary         |                 |
|-------------------------------|-----------------|
| EPS                           | 17.76           |
| Multiple                      | 24.28x          |
| <b>Total Enterprise Value</b> | <b>95491.93</b> |
| (-) Debt                      | 4995            |
| (+) Cash                      | 891             |
| <b>Total Equity Value</b>     | <b>91387.93</b> |
| Shares Outstanding            | 212             |
| <b>Implied Share Price</b>    | <b>431.08</b>   |
| Current Price (As of 11/6/25) | 280.21          |
| Upside (Downside)             | 53.84%          |



# Recommendation

# Investment Thesis

We pose Seagate Holdings (\$STX) as a **STRONG BUY**

- Strong position to benefit from the explosive AI and hyperscalers capex
- Leading in next-gen HDDs through technologies such as HAMR which is driving market share gains as seen in Q1'26
- Strong momentum and improving margins from new technology increases



# AI and Hyperscalers

- Data center infrastructure spending reached \$290b in 2024, with hyperscalers as the majority of investment
- Market projected to \$1T by 2030
- Big 4 are expected to spend \$345b+ in 2025, 52% YoY



# Technological Advantage

- First to market with HAMR technology, allowing for greater storage density and efficient per drive
- 12-18 month advantage over \$WDC's HAMR efforts and furthering the gap to Toshiba's MAMR
- 5 of 8 major cloud providers qualified on 36TB drives, with the remaining 3 to be qualified in 2026
- 44TB drives ramping in H1'26



# Momentum and Margins

- \$2.63b in revenue in Q1'26, 21.5% YoY growth
- Diluted EPS of \$2.43, up 73% YoY, exceeding guidance
- FCF of \$427m
- Historical margins in low 30%
- Now at record 40.1% gross margin, driven by HAMR drive shipments





Questions?